

RETAIL AND WHOLESALE LOANS

(TYPES AND DIFFERENCES BETWEEN RETAIL AND WHOLESALE LOANS, RATINGS, SCORING, STRUCTURED AND PROJECT FINANCING, COLLATERALS AND COVENANTS)

Source:

- Casu, Barbara_ Girardone, Claudia_ Molyneux, Philip - Introduction to banking (2015, Pearson). Chapter 3.3
- Banküzemtan (hungarian)

General definition and differences

Commercial banks are the main providers of credit to households and corporate sector. *Retail loans are lent to private individuals, households and sometimes SMEs, while wholesale loans are provided to enterprises, corporates and governments* (to other banks, sometimes governmental institutions, etc.). Retail and wholesale loans differ in the borrowed amount. Households usually borrow money in a *smaller amount* i.e., to buy a new car, buy a new house or for various undefined purposes (~personal loan), while wholesale loans usually finance *larger investments* of a company i.e., acquisition, expansion, product development or a new project (~project financing). Due to the „high quantity but small amount” nature of retail loans they usually go with *more standardized conditions* (e.g., in terms of requirements, risks, etc.), while wholesale loans are evaluated considering multiple, sometimes unique aspects of the borrower company.

However, not only commercial banks provide such loans. The retail loan portfolio is considered to be the most significant for savings banks, building societies and credit unions too, whereas wholesale loans are mostly provided by the previously mentioned commercial banks and investment banks.

Small excursion on bank types

Commercial bank: While commercial banking refers to institutions whose main business is deposit taking and lending, it should always be remembered that the largest commercial banks

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also engage in investment banking, insurance and other financial services areas. They are also the key operators in most countries' retail banking markets.

Savings bank: Savings banks are similar in many aspects to commercial banks although their main difference (typically) relates to their ownership features – savings banks had traditionally mutual ownership, being owned by their 'members' or 'shareholders', who are the depositors or borrowers.

Building society: A building society is a mutual institution. This means that most people who have a savings account, or mortgage, are members and have certain rights to vote and receive information, as well as to attend and speak at meetings. Each member has one vote, regardless of how much money they have invested or borrowed or how many accounts they may have. Each building society has a board of directors who run the society and who are responsible for setting its strategy. Building societies are different from banks, which are companies (normally listed on the stock market) and are therefore owned by, and run for, their shareholders. Societies, which are not companies, are not driven by external shareholder pressure to maximize profits to pay away as dividends.

Credit union: These are non-profit co-operative institutions that are owned by their members who pool their savings and lend to each other. They are usually regulated differently from banks. Many of their staff are part-time.

Investment bank: The main role of investment banks is to help companies and governments raise funds in the capital market, either through the issue of stock (otherwise referred to as equity or shares) or debt (bonds). Their primary business relates to issuing new debt and equity that they arrange on behalf of clients as well as providing corporate advisory services on mergers and acquisitions (M&As) and other types of corporate restructuring. The core banking products of investment banks are Credit and other debt financing facilities – loans, overdrafts, syndicated loans, commercial paper, bonds and other facilities.

Main characteristics and types of retail loans

Retail banking relates to financial services provided to *private individuals and SMEs*. Typically, transactions are *large volume and low value*. The focus of retail banking is mostly *domestic*. Typically, all large banks offer a broad range of personal banking services including

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deposit/lending services, payment services, saving services, insurance services, pension services, and others.

Short-term retail loans

- **Personal loan:** Personal loans usually are *unsecured loans*, used to *fund immediate financial needs*. They don't have any end usage restriction (medical emergencies, home repairs, vacation expenses etc.). Typically between 1-5 years. Can be secured as well, which results in lower interest rates. Personal loans offer cash in one lump sum, often at a relatively low interest rate, and are paid back in fix monthly payments.
- **Credit card loan:** credit cards provide borrowers with *ongoing access to funds* that they can draw on as needed, up to an agreed-upon credit limit. As they charge purchases to their card, their available credit goes down. As they repay, it goes up again. You pay interest only on the funds you use. Sometimes they have *grace period*, meaning that if you pay your balance in time, you are not going to be charged any interest. Most credit cards are unsecured, but borrowers with poor credit or no credit history may be eligible for a secured credit card, which requires a deposit that serves as collateral.
- **Overdraft:** occurs when there isn't enough money in your account to cover a transaction or withdrawal, but the bank allows the transaction anyway. There is interest on the loan, and there is typically a fee per overdraft.
- **Factoring:** the company in need of immediate cash can sell its account receivables (receiving a percentage of the invoice value upfront (e.g., 70-90%) to a bank, after which the debtors (the one owing money to the company) will eventually pay to the factor. Once the customers pay the invoices in full, the factor deducts its fees and returns the remaining amount to the business.

Long-term retail loans

- **Home loan/Mortgage:** A housing loan has flexible repayment options and reasonable interest rates. Moreover, you can easily pay back your loan within a period of 20-30 years. Secured against the property. The loan to value (LTV) is usually 80%.
- **Car loan:** For buying used, new, two wheeler or four wheeler vehicle. You will have to pay a certain amount as down payment, and the remaining amount can be paid in EMIs. The

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interest rates offered on vehicle loans vary across lenders. Typically between 1-5 years, *secured* against the car, can be tax deductible.

- **Education loan:** It includes tuition fees, accommodation, etc. This loan can either be secured or unsecured. Compared to other loans like credit card loans, personal loans, etc., education loans have a lower interest rate. Also, they have lengthy repayment tenures giving students a lot of time to repay their loans. Payback after finishing studies and earn over a certain amount.
- **Leasing:** financing arrangement where a lender (often a financial institution or leasing company) purchases an asset and allows the borrower (lessee) to use it for a specified period in exchange for periodic payments. It is commonly used for high-value assets like vehicles, machinery, or equipment. In retail lending, leasing provides individuals or businesses with access to assets without the need to purchase them outright.

Eligibility criteria for retail loans

- **Age:** For most lenders, borrowers must be 18 years and above.
- **Income:** Lenders usually require borrowers to have a minimum level of income. This varies depending on the loan amount and credit history. Before applying for the loan, applicants must check the income requirements of the lender.
- **Credit score:** It is essential to have a good credit score for retail loans. A higher credit score means higher chances of approval (*detailed discussion later*).
- **Employment:** To be eligible for retail loans, borrowers must have a steady source of income. They can be employed, self-employed, or have stable means of income.
- **Other factors:** Other factors influencing the eligibility include the borrower's current financial obligations, debt-to-income ratio, and length of time at their current residence or job. It is recommended to evaluate these factors before you take a retail loan.

Credit scoring

To obtain information on a potential borrower, banks will adopt a **qualitative approach**. Credit scoring is based on *personal income and history*. The procedure involves asking the applicant a number of questions, then allocating points (weights) to the answers. Questions may concern the applicant's *employment history, the length of time as a customer of the bank, the number and*

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type of accounts held, the length of time at their present address and so on. The total number of points – credit score – helps *predict how creditworthy the applicant is*, that is, how likely it is that they will repay a loan and make the payments when due. Banks estimate the PD of the client and charge interest rate on the loan according to this.

A FICO score is a credit score. FICO scores take data into account in five areas to determine a borrower's creditworthiness: *payment history, the current level of indebtedness, types of credit used, length of credit history, and new credit accounts*.

FICO Score	Rating	What the Score Means
< 580	Poor	• Well below average • Demonstrates to lenders that you're a risky borrower
580 – 669	Fair	• Below average • Many lenders will approve loans
670 – 739	Good	• Near or slightly above average • Most lenders consider this a good score
740 – 799	Very Good	• Above average • Demonstrates to lenders you're a very dependable borrower
800+	Exceptional	• Well above average • Demonstrates to lenders you're an exceptional borrower

Main characteristics and types of wholesale loans

Source: *What is Retail Loan: Definition, Varieties, and Advantages (creditmantri.com)*

Wholesale or corporate banking relates to banking services *provided to large enterprises, corporations and governments*. Wholesale loans are overall designed for organizations and other institutional entities with *big borrowing requirements*. These loans contain large loan amounts and are often tailor-made to fulfill the unique financial wishes of these entities.

Types of wholesale loans

- **Working-capital loans:** a loan that is taken to finance a company's everyday operations (payroll, rent, debt repayment etc.)
- **Revolving credit facility:** an arrangement which allows for the loan amount to be withdrawn, repaid, and redrawn again in any manner and any number of times, until the arrangement expires, and up to a certain limit.
- **Factoring**

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- **Syndicated Loans:** large loans provided by a group of lenders, reducing individual exposure for banks and providing more flexibility in loan terms for borrowers.
- **Securitization:** customized financial instruments to address unique borrower needs
- **Project Finance:** funding large infrastructure projects, with repayment tied to the project's success.

Credit rating

For wholesale loans, credit ratings are used to evaluate the borrower's ability to repay debt. These ratings are provided by *credit rating agencies* (Standard & Poor's, Moody's, Fitch) that provide information on firm performance, credit ratings, and PD. Banks also send inspectors to firms to monitor their progress. However, it is particularly difficult for consumers/investors to monitor financial firms to see how they are performing and what they are doing with their deposits or investments. This is one reason why *we have regulators to monitor financial firm behavior*. The *interest* of the loans is set at a margin above the interbank rate (usually LIBOR or Euribor, depending on the currency) according to the perceived credit risk of the borrower and *fees* are also paid by the borrower for arranging the loan. The fees increase in line with the complexity and riskiness of a loan. While large investment grade borrowers would typically pay little or no fees, a leveraged borrower would normally pay somewhere in the region of 1–5 per cent of the total loan commitment depending on the complexity of the transaction, market conditions and whether the loan is underwritten. Higher credit risk borrowers pay larger interest as well. Pricing also varies according to the type of borrower, purpose of the loan, whether the loan is secured or not and other factors.

Structured financing

Structured finance is used in situations when a company or institution has complicated financing needs. Typically large financial institutions and corporations use this type of financing. It can involve syndicated lending, where several lenders pool the capital thus sharing the exposure. Project financing is another type of structured financing. It may use *securitization* to create asset pools and form complex financial instruments, usually in cases in which conventional financial products such as small loans and mortgages are insufficient. Securitization involves banks transforming their illiquid assets (usually ones held until maturity) into securities, which then are sold to investors (pension/mutual/hedge funds,

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governments, retail investors) for liquid cash. Such products are: CDSs, CDOs, CBOs, CMOs, CLOs etc.

After the loans (mortgage, auto loan, business loan etc.) of a financial institution are originated, the lender sells the loans to a Special Purpose Vehicle (SPV) for securitization. This process removes the loans from the BS of the financial institution. The SPV finances the purchase of these loans by issuing securities backed by the loans. Investors then buy the securities issued by the SPV. The initial borrower now pays interest to the SPV which uses the repayments to pay investors. Another case can be a company which has several auto leases, and the bank may suggest creating a CLO (pooling the auto leases together).

Structured finance helps lenders to free up capital for new loans, to transfer credit risk off their BS and to generate liquidity.

For ex: a *Collateralized Debt Obligation (CDO)* is a type of securitized product backed by a pool of loans, bonds, or other debt instruments. The SPV divides the cash flows from the pool into different tranches, each with varying levels of seniority, risk and return: senior trench, mezzanine trench and equity trench. The CFs of the assets in the pool are going to provide the payout to investors in order of the trenches.

Project financing

Project financing is a specialized type of wholesale lending used for large-scale infrastructure and industrial projects. It is used to pay for construction projects such as power plants, oil refineries, wind farms, highways etc. It is long-term financing and *debt-repayment is based on cash flows generated from the completed project*, so the project itself serves as the collateral for the loan. The project is typically housed in an SPV, a separate legal entity. The SPV owns the project's assets and is responsible for its debts and liabilities, isolating risks from the sponsor.

Let's take the case of a company that wants to build and operate a highway. Instead of taking on debt directly, this company will create a legal entity called a Special Purpose Vehicle (SPV) – *a new company only for the highway project* -, into which it will inject cash in the form of capital. This makes the company the sole owner/shareholder of the SPV – but it is actually the SPV that will be borrowing from banks in order to finance the project. Once the project is built, it is the financial results (cash flows) from the project that will enable repayment of the debt. The bank acts as an advisor. It helps to structure the project by defining the risks of the project and the means to cover them, both at the financial level (definition of the amounts of capital and debt,

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definition of the levels of senior and mezzanine debt) and at the legal level. The bank finances and recruits additional investors to help finance the project (syndication). It can also act as an agent, i.e., as an intermediary between the client and the project's lenders.

Project financing often comes in a form of syndicated loan. Syndicated lending is when a lead bank persuades a number of other banks to contribute to a loan. Normally a syndicate of banks will provide very large loans. The basic structure involves a lead manager (the agent bank) that will represent, and operate on behalf of, the lending group (the participating banks). Although there is only a single loan agreement contract, *every syndicate member has a separate claim on the borrower*. Typically, access to the syndicated loans market is restricted to *only the largest firms* as the smallest loans on average exceed \$50 million. At the most basic level, arrangers serve the role of raising finance for a borrower in need of capital. The borrower pays the arranger a fee for this service which increases with the complexity and riskiness of the loan. Usually each participant funds the loan at identical conditions and is responsible for its particular share of the loan.

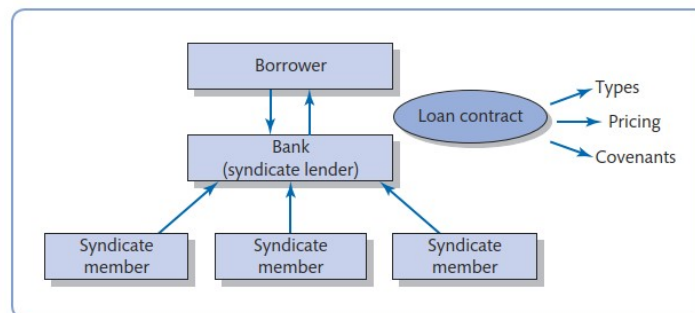


Figure 4.6 Syndicated lending – basic structure

Collaterals

Collateral is an *asset pledged* by the borrower to secure a loan. Upon default, the lender is eligible for these assets or the cash-flow from the liquidation of these assets. In case of retail loans these can be homes, vehicles or savings accounts, while in case of wholesale loans properties, machines, inventories or account receivables. Collateral *reduces lender risk* and may lead to *better loan terms for borrowers*.

- **Personal guarantee** is a legal promise made by an individual (business owner or company director) to accept personal liability for a debt or obligation if the primary borrower, such as their business, fails to repay the debt.

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Covenants

A covenant is a term for an *agreement between the creditor and the debtor that obliges the debtor to make certain activities (**positive covenants**) or to refrain from certain activities (**negative covenants**) during the term of the loan*. Covenants are an integral part of the loan agreement. Furthermore, the so called **financial covenants** refer to pre-specified ratios (e.g., leverage, operational ratios, etc.)

Positive covenants:

- *Compliance with regulation*: maintain good standing with the SEC and file financials on time per U.S. GAAP reporting standards.
- *Payment of taxes*: the company must remain on top of all required local, state, and federal tax payments (IRS).
- The company must get its *financial statements audited* on a regular basis – whether the borrower is public or private.
- The company must be covered under *insurance* as a hedge against unexpected, disastrous events that would result in significant fees if uninsured.

Negative covenants:

- Restriction of additional debt
- Cannot change core activity
- Prohibited to sell (some) assets: the company cannot purchase or sell fixed assets without obtaining approval – typically, the upper limit on the price is set on what can be purchased/sold.
- Cannot pay dividends to shareholders unless strict approval of lenders was received and signed on paper.
- Cannot take part in M&As without lender approval
- The company cannot change upper-level management without the consent of lenders.
- The company cannot place additional liens on its asset base (i.e. collateral), as doing so can reduce the recoveries of the lender if the borrower were to default and undergo liquidation.

Most „famous” negative covenants:

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- **Negative pledge:** the borrower cannot pledge its assets as collateral for other debts, protecting the lender's priority over those assets.
- **Pari passu:** ensures that all creditors with pari passu status are treated equally and fairly, without preference. It protects lenders against the borrower prioritizing other debts or obligations above the pari passu lenders or creating new obligations that would rank higher than the pari passu creditors.

Financial covenants:

Debt service refers to the money required to cover the payment of interest and principal.

- Debt service / EBITDA
- DSCR (debt service coverage ratio) = $\text{Net Operating Income} / \text{Debt Service}$
- DSRA (debt service reserve account)